

The Easing Cycle Ends

Warsh holds at 3.50–3.75% but the new dot plot pencils in a 2026 hike—median year-end rate jumps to 3.8% from 3.4%. The 2-year yield surges ~15bp to a one-year high. S&P 500 –1.19%. The Growth Portfolio finishes flat as the chip cohort rebounds.

THE SESSION

Kevin Warsh kept the fed funds rate unchanged at 3.50–3.75% in his first meeting as Chair, exactly as priced—and then let the projections do the talking. The new dot plot no longer carries a 2026 cut; the median year-end rate moved up to 3.8% from 3.4% in March, with nine of eighteen officials now penciling in at least one hike this year. The two-year Treasury yield jumped roughly fifteen basis points to its highest in over a year. Equities, which had carried the Dow to a fresh intraday record earlier in the session, faded into the close: the S&P 500 finished –1.19%, the Nasdaq –1.34%.

The morning's open question was whether Warsh would simply drop the last projected cut. The answer went a step further—the committee shifted to a hike-biased posture and removed the easing tilt, and Warsh himself declined to submit a dot. His press conference was deliberately spare; pressed for elaboration, he noted he had nothing more to add than the statement itself, while reaffirming what he called a unanimous commitment to price stability. The internals rewarded the rotation we have been tracking. Rate-sensitive housing and the crypto complex gave ground, while the semiconductor cohort that mean-reverted on Tuesday rebounded—MRVL, CRDO, AMD, TSM, and LRCX all closed green. That counter-trend bid in chips let the Growth Portfolio finish essentially flat against an IUSG that fell 1.12%.

The Dividend Strategy gave back about a point but still outpaced both DVY and SPY on the day, its defensive-cyclical

anchors—CAT among them—catching the same bid that briefly lifted the Dow to a record before the late reversal. A higher path for rates reprices valuations and the cost of carry; it does not rewrite the cash-flow durability of the businesses we own.

IOWN Tactical: A hawkish dot plot reprices the path, not the enterprises behind our holdings. Carson's SPY \$645.80 support sits well below today's \$741 close, leaving it a downside reference rather than an actionable marker—and far from the –20% / –25% / –30% drawdown tranches that would trigger deployment. We let the framework, not the forecast, dictate action.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

HOOD +8.78% GROWTH PORTFOLIO

Argus lifted its price target to \$110 from \$90 and Deutsche Bank to \$105; the prior day's roughly 10% workforce reduction and record June trading volumes drove a re-rating, with the move almost entirely company-specific against a flat-to-lower tape.

CRDO +4.24% GROWTH PORTFOLIO

The connectivity-chip name rebounded sharply as the AI-infrastructure complex retraced Tuesday's steep drawdown.

MRVL +3.90% GROWTH PORTFOLIO

Semiconductors recovered; the cohort's mean-reversion ran directly counter to the broad market's FOMC-day fade.

TSM +1.48% GROWTH PORTFOLIO

The foundry leader firmed alongside the broader chip rebound.

LRCX +1.31% DIVIDEND STRATEGY

Semicap equipment gained—one of the few green prints in the dividend book on a red session.

CAT +1.11% DIVIDEND STRATEGY

The industrial bellwether caught the cyclical bid that lifted the Dow to a fresh intraday record before the late reversal.

DECLINERS

MARA –3.47% GROWTH PORTFOLIO

The crypto-miner softened as Bitcoin slipped toward \$64,400 (–2.1%) on the higher-rate repricing.

ETHA –3.47% DIGITAL ASSET ETF

Ether exposure tracked the digital-asset pullback as yields rose.

PCAR –3.06% DIVIDEND STRATEGY

The truck maker pulled back with the rate-sensitive cyclicals.

SYK –3.04% DIVIDEND STRATEGY

Med-tech gave back ground in the broad post-decision de-risking.

TOL –2.36% GROWTH PORTFOLIO

The homebuilder was pressured as the two-year yield surged; Warsh characterized policy as restrictive for the housing market.

COIN -2.57%

GROWTH PORTFOLIO

The exchange weakened with the crypto complex even as the tokenization story advanced.

HOLDINGS NEWS

Robinhood (HOOD). The platform disclosed a workforce reduction of roughly 10%—about 290 roles, carrying an estimated \$28 million in second-quarter restructuring charges—framed by management as a move from a position of strength to flatten layers and accelerate product velocity. Argus and Deutsche Bank both raised price targets, and management noted June month-to-date trading volumes at record levels across equities, options, and prediction markets.

Coinbase (COIN). Regulators reportedly cleared a path for tokenized stock trading as Coinbase advanced its onchain-shares initiative—a structural development for the digital-rails thesis, even with the stock trading lower alongside the broader crypto tape.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT BOTH

-1.09%

vs. DVY -1.73% | SPY -1.24%

GROWTH PORTFOLIO

✓ BEAT

+0.02%

vs. IUSG -1.12%

YEAR-TO-DATE

Dividend +14.20% vs DVY +8.90% / SPY +8.67%

Growth +20.74% vs IUSG +10.46%